

FREIGHT SPEND EXECUTIVE INSIGHT MEMO

SITUATION

An analysis of 10,325 shipment records identified \$68.8M in discrete freight costs across 6,198 shipments (60% of total volume). The remaining 40% of shipments carry bundled or separately invoiced freight — meaning true network spend is materially higher than what this dataset captures. All figures below reflect visible spend only.

KEY FINDINGS

1 Air freight is the default mode — and it's expensive.

Air and Air Charter combined represent 74% of total freight spend (\$51M). Air Charter alone averages \$150/kg — nearly four times the standard air rate and ten times truck. For a network operating at this scale, defaulting to air is the single largest cost driver and the highest-leverage target for mode optimization.

2 Nigeria is a double-exposure risk.

At \$15M, Nigeria represents 22% of total freight spend. It also ranks in the top three countries by cost per kilogram. High volume and high unit cost in the same lane compounds risk and limits negotiating leverage with current carriers. This lane warrants an immediate dedicated sourcing review.

3 Vendor rate outliers exist and are unmanaged.

Premier Medical Corporation Ltd averages \$103/kg across just 12 shipments — the highest unit freight cost in the dataset. At that rate, freight is likely exceeding or approaching product value on individual shipments. Isolated vendor outliers at this cost level suggest rate agreements, if they exist, are not being enforced.

RECOMMENDED ACTIONS

1 Conduct a mode-shift feasibility review on air shipments.

Segment air volume by delivery urgency and lead time buffer. Identify what percentage of air shipments had sufficient schedule slack to support ocean or road. Even a 10% conversion would represent \$4–5M in recoverable spend.

2 Issue an RFQ on the Nigeria lane.

Given the combined volume and cost-per-kg exposure, a competitive bid process — even limited to 2–3 qualified carriers — is likely to produce rate improvement. Consolidation opportunities within this lane should be modeled before the RFQ is issued.

3 Audit vendor freight agreements for rate compliance.

Pull all shipments above \$75/kg and map them to contract terms. Outliers like Premier Medical suggest either no rate agreement exists or existing terms are not being applied at invoicing.

